Francisco Libano-Monteiro

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Education

PhD in Economics, London School of Economics (expected 2027) 2022–2027
Supervisors: Wouter Den Haan and Xavier Jaravel

MRes in Economics, London School of Economics — *Distinction* 2020–2022

MSc in Economics, London School of Economics — *Distinction* 2019–2020

BSc in Economics, Nova SBE 2016–2019

References

Wouter Den Haan
London School of Economics
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Xavier Jaravel
London School of Economics
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Ricardo Reis
London School of Economics
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Alan Manning
London School of Economics
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Vernon Henderson
London School of Economics
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Research Fields

Macroeconomics; Labor Economics

Research Interests

Income Dynamics and Inequality; Urban Planning

Job Market Paper

Does the Minimum Wage Reduce Inequality? Current vs Lifetime Perspectives

An increase in the minimum wage can strongly compress the cross-sectional distribution of current earnings, but do *individual* gains to low-wage workers persist over time? Or do they quickly dissipate, or perhaps even come at the expense of lower future earnings? Using Portuguese administrative data covering all private-sector employment, I study a reform that raised the real national minimum wage by 16.2% between 2006 and 2010, an increase sustained through 2014. Exploiting heterogeneous exposure to the reform across the initial 2006 wage distribution in a difference-in-differences design, I find that it generated strong individual wage and earnings gains, but these dissipated relatively quickly on average. The reason is that most workers rapidly grow out of minimum-wage exposure and spend only a small fraction of their working lives near the floor. The data show little evidence of adverse effects on employment, hours worked, or career progression. To extrapolate beyond the eight-year empirical horizon, I estimate a statistical wage process that embeds the minimum wage as a floor, allowing me to consider the impact of a permanently higher floor on lifetime earnings. While the higher minimum wage raises current wages and earnings of the lowest-paid workers by the full 16.2%, it raises lifetime earnings of workers at the bottom of the lifetime earnings distribution by 7.3%. Finally, I show that the smaller lifetime equity effects need not necessarily lower the optimal minimum wage.

Working Papers

Decomposing Changes in Income Mobility Over Time

An economy's income mobility can change substantially over time. However, a substantial decline in population income mobility may either be the result of a decline in mobility within population subgroups, or of a growing share of population subgroups that are less mobile, such as women and older workers. This paper offers an exact decomposition of changes in mobility over time. Population mobility is not a simple weighted average of subgroup mobilities. As a result, beyond compositional dynamics in the labor force, the dynamics of inequality and of between-group gaps also matter for aggregate population mobility. I apply the decomposition to Portugal, an

economy whose income mobility declined between 1986 and 2019 and which displays considerable heterogeneity in mobility across groups, using administrative data on the universe of private-sector workers. Population wage mobility fell by around 23 percent over the period, but it remains broadly stable within age-gender-education groups, revealing the importance of the evolution of structural differences between groups, such as compositional share in the labor force and income gaps.

Greenfield Urban Planning (Submitted)
with Vernon Henderson, Guy Michaels, Martina Manara and Tanner Regan, 2026

Urban planning shapes cities, demarcating property rights and mitigating coordination failures, but its rigidities constrain market-driven development. In developing country cities, characterized by rapid growth and urban informality, greenfield urban planning, if done well, creates value. We develop a framework for analyzing how planning choices affect land and individual-level outcomes and, thus, the magnitude and distribution of this value. We study Tanzania's flagship "20,000 Plots" project in Dar es Salaam, which partitioned peri-urban land into over 36,000 formal residential plots. Using administrative records, satellite imagery, and primary surveys, we estimate causal effects of planning decisions using highly local within-neighborhood variation and spatial regression discontinuities, and we develop and estimate a dynamic structural model. We find that the price per square meter falls with plot size (elasticity of -0.5) within project neighborhoods. The model yields a sufficient statistic for planners: inefficient allocations have decreasing price per square meter with plot size. Model counterfactuals indicate that welfare maximization would increase the relative supply of small plots and spread gains more evenly, though still attracting mostly higher-income households. Land value maximization would, in contrast, have many fewer plots overall, focused even more on higher-income households. Extending the current project would generate large net gains, reflecting model shadow values well above cost. Land values are roughly twice those in nearby informal areas conditional on plot size, mostly due to secure property rights and road access.

Will the Economic Impact of COVID-19 Persist? Prognosis from 21st Century Pandemics (Pre-PhD)
with Johannes Emmerling, Davide Furceri, Prakash Loungani, Jonathan D. Ostry, Pietro Pizzuto and Massimo Tavoni
IMF Working Paper 2021/119

COVID-19 has had a disruptive economic impact in 2020, but how long its impact will persist remains unclear. We offer a prognosis based on an analysis of the effects of five previous major epidemics in this century. We find that these pandemics led to significant and persistent reductions in disposable income, along with increases in unemployment, income inequality and public debt-to-GDP ratios. Energy use and CO_2 emissions dropped, but mostly because of the persistent decline in the level of economic activity rather than structural changes in the energy sector. Applying our empirical estimates to project the impact of COVID-19, we foresee significant scarring in economic performance and income distribution through 2025, which could be associated with an increase in poverty of about 75 million people. Policy responses more effective than those in the past would be required to forestall these outcomes.

Work in Progress

Taxing the Snapshot: Welfare Costs of Setting Progressivity Based on Cross-Sectional Inequality

Dynamics of Greenfield Development [Slides]
with Vernon Henderson, Guy Michaels, Martina Manara and Tanner Regan

Presentations

LSE Public Economics WiP Seminar; LSE Macroeconomics WiP Seminar (2022–2026); Society for Non-Linear Dynamics (Católica Lisbon); Ministério das Finanças (GEE/GPEARI) — 2026

LSE Labour Economics WiP Seminar; Lisbon Micro Group (University of Lisbon); NOVAFRICA (NOVA SBE Lisbon); INTEDU (Modena) — 2025

LSE Urban/QSM WiP Seminar; NHH (Bergen) 2024

Funding & Awards

STICERD Research Grant (£5,000) 2026
LSE PhD FYF 2026
LSE Impact Prize for *Greenfield Urban Planning* (£7,500) 2025
Emergent Ventures Grant ($15,000) 2025
PhD Fellowship, Fundação para a Ciência e a Tecnologia 2021–2025
International Growth Centre grant (£69,963); PI: Guy Michaels 2023
LSE Class Teacher Bonus Award 2022–2026

Teaching

EC325 Public Economics, LSE 2022–2026
Course Manager; Class Teacher

EC400 Optimization and Dynamic Programming, LSE 2023–2024
EC202 Macroeconomics, LSE Summer School 2024–2025
EC270 Public Finance, LSE Summer School 2025
EC210 Macroeconomic Principles, LSE 2021–2022

Research Experience

Research Assistant to **Jane Olmstead-Rumsey** 2025
Research Assistant to **Ricardo Reis** 2023
Research Assistant to **Vernon Henderson** 2022
Research Assistant to **Guy Michaels** 2021

Post-Degree Researcher 2020
RFF-CMCC European Institute on Economics and the Environment, Milan

Personal

Languages Portuguese (native), English (fluent)
Citizenship Portugal